

Financial Ratio Analysis of a Listed Company

Company: Dixon Technologies (India) Ltd (BSE: 540699 | NSE: DIXON)

Student: Suhas Kembhavi | Roll No: 24BCS10261 | Period: FY2024-25 & FY2023-24

Company Introduction

Dixon Technologies (India) Limited is India's largest Electronics Manufacturing Services (EMS) company. Operating as an OEM/ODM partner, it manufactures products for global and domestic brands across multiple verticals: Mobile Phones (its largest segment), Consumer Electronics, Home Appliances, and Lighting Solutions. As a key beneficiary of the "Make in India" initiative, Dixon has scaled rapidly. The company is listed on the BSE and NSE, with a market capitalization of ~Rs.80,000 Crores.

Key Financial Extracts (Consolidated, Rs. in Crores)

The following key figures have been extracted from the audited consolidated financial statements to perform the ratio analysis. This summary consolidates the Balance Sheet and P&L for brevity.

Particulars	FY2024-25 (Latest)	FY2023-24 (Previous)
Revenue from Operations	38,880	17,691
EBITDA	1,988	737
Net Profit (PAT)	1,233	375
Shareholders' Equity	3,469	1,722
Total Assets	16,767	6,991
Current Assets	13,094	4,836
Current Liabilities	12,231	4,576
Inventories	4,030	1,780
Trade Receivables	8,770	2,830
Trade Payables	8,250	2,860
Cash & Cash Equivalents	230	200

Q1. Liquidity Analysis (5 Marks)

Liquidity ratios measure the capacity to meet short-term obligations. Dixon's asset-light EMS model relies heavily on supplier credit (trade payables) to fund its working capital, making liquidity analysis critical.

Ratio	Formula	FY2024-25	FY2023-24
Current Ratio	Current Assets / Current Liab.	1.07x	1.06x
Quick Ratio	(Current Assets - Inv) / CL	0.74x	0.67x
Cash Ratio	Cash & Equiv. / Current Liab.	0.019x	0.044x

Interpretation: The Current Ratio remained largely stable at 1.07x (up from 1.06x). While this sits below the traditional 2.0x benchmark, it is standard for EMS companies that operate on rapid inventory turnover and extended supplier credit. The Quick Ratio improved meaningfully to 0.74x, showing better coverage by liquid assets. However, the Cash Ratio is precariously low at 0.019x. Dixon holds just Rs.230 Cr in cash against Rs.12,231 Cr in current liabilities. The company relies entirely on realizing its Rs.8,770 Cr in receivables to pay its Rs.8,250 Cr in trade payables.

Conclusion: Liquidity is tight but actively managed. The model is highly efficient during growth phases but carries elevated risk. Any delay in client payments could instantly trigger severe liquidity stress.

Q2. Solvency Analysis (5 Marks)

Solvency ratios evaluate long-term financial stability. Despite explosive growth, Dixon has managed its capital structure carefully.

Ratio	Formula	FY2024-25	FY2023-24
Debt-to-Equity	Total Debt / Total Equity	0.20x	0.34x
Debt-to-Assets	Total Liabilities / Total Assets	0.79x	0.75x
Interest Coverage	EBIT / Interest Expense	10.54x	7.10x
Equity Ratio	Total Equity / Total Assets	0.21x	0.25x

Interpretation: Financial solvency has strengthened remarkably. Debt-to-Equity improved from 0.34x to 0.20x as retained earnings and capital raised doubled the equity base to Rs.3,469 Cr. Furthermore, Interest Coverage surged from 7.10x to 10.54x, driven by a 213% increase in operating profits, indicating exceptional debt-servicing capability. However, the Debt-to-Assets ratio increased to 0.79x, and the Equity Ratio dropped to 0.21x. This apparent contradiction occurs because Dixon's "leverage" is primarily operational (trade payables of Rs.8,250 Cr) rather than financial (bank debt).

Conclusion: Financial solvency is excellent (D/E 0.20x). The high total liabilities reflect the nature of the EMS business model, not debt distress. Long-term stability is strong.

Q3. Working Capital & Profitability Analysis (5 Marks)

A. Working Capital Efficiency

Ratio	Formula	FY2024-25	FY2023-24
Inventory Turnover	Revenue / Avg. Inventory	13.38x (27 days)	10.79x (34 days)
Receivables Turnover	Revenue / Avg. Receivables	6.70x (54 days)	7.03x (52 days)
Payables Turnover	Cost of Mat. / Avg. Payables	6.15x (59 days)	5.81x (63 days)

Working Capital Interpretation: Inventory turnover improved dramatically from 10.79x to 13.38x (holding period dropped from 34 to 27 days), showcasing superior supply chain execution as production scaled. The Cash Conversion Cycle (CCC = Inv Days + Rec Days - Pay Days) is remarkably stable at ~22 days (FY25) vs 23 days (FY24), proving excellent working capital discipline despite revenue doubling.

B. Profitability

Ratio	Formula	FY2024-25	FY2023-24
Gross Margin	(Rev - Mat. Cost) / Rev	12.15%	13.65%
EBITDA Margin	EBITDA / Revenue	5.11%	4.17%
Net Profit Margin	PAT / Revenue	3.17%	2.12%
ROE	PAT / Avg. Equity	47.50%	24.02%
ROCE	EBIT / Capital Employed	37.64%	23.81%

Profitability Interpretation: Gross margins narrowed (13.65% to 12.15%), which is expected when scaling a high-volume manufacturing business. However, massive operating leverage allowed fixed costs to be spread over a wider revenue base. Consequently, EBITDA margin expanded to 5.11% (+0.94pp) and Net margin improved to 3.17% (+1.05pp). PAT grew an astonishing 229% YoY. Returns on Equity (47.50%) and Capital Employed (37.64%) are exceptional, indicating world-class capital efficiency.

Q4. Investment Recommendation & Risk Identification (5 Marks)

Key Financial Risks Identified

1. Liquidity & Concentration Risk (HIGH): With merely Rs.230 Cr in cash against Rs.12,231 Cr in current liabilities, the company is deeply reliant on timely collections from its Rs.8,770 Cr in receivables. Because Dixon relies heavily on a few major mobile brands, any delayed payments from a top client could trigger severe cash flow constraints.
2. Margin Fragility Risk (HIGH): With a net profit margin of just 3.17%, the company operates with virtually no margin of safety. Any sudden hike in raw material costs (semiconductors, metals) that cannot be passed to clients, or any adverse changes in government PLI (Production Linked Incentive) policies, could instantly wipe out profitability.
3. Valuation Risk (MODERATE): The stock currently trades at a P/E ratio of ~40x. This valuation prices in sustained, flawless hyper-growth. If revenue growth decelerates or margins compress, the stock faces a high risk of a severe valuation de-rating.

Investment Recommendation: BUY (For Growth Portfolios) | AVOID (For Conservative Portfolios)

Arguments FOR investing: Dixon is India's undisputed EMS market leader, perfectly positioned to capture the ongoing shift in global supply chains ("China Plus One") and domestic manufacturing tailwinds. The execution track record is flawless: 120% YoY revenue growth, 229% PAT growth, and an incredible 47.5% ROE. Operating leverage is structurally expanding margins, and the low financial debt (D/E of 0.20x) leaves ample room for strategic capacity expansion.

Arguments AGAINST investing: The financial model is extremely asset-light but working-capital heavy. It runs on near-zero cash buffers and massive supplier credit. The 3.17% net margin provides zero safety buffer for error. Additionally, the rich valuation and negligible dividend yield offer no downside protection during market corrections.

FINAL VERDICT: Dixon Technologies is a HIGH-GROWTH, HIGH-RISK compelling BUY for investors with a 3-5 year horizon willing to stomach volatility. Its operational efficiency (ROE 47.5%, CCC 22 days) at scale is currently unmatched in Indian manufacturing. However, conservative investors should avoid it entirely due to the extreme liquidity tightness and razor-thin margins.

Sources & References:

1. Dixon Technologies (India) Ltd - Audited Annual Report FY2024-25 & FY2023-24
2. BSE/NSE India - Dixon Technologies Financial Filings (Scrip: 540699 | Symbol: DIXON)
3. Financial metrics derived from consolidated statements in Rs. Crores via Screener.in